COMPANY LENS

a Company Lens case study by Vigneshwari Nalla

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PORSCHE



2026 MARGIN RECOVERY

Is Porsche's 2026 margin recovery actually improving underneath the reported numbers?

H1 2023 TO H1 2026 / SQL / EXCEL / POWER BI / PUBLIC DISCLOSURES ONLY

A REPORTED RECOVERY, NOT YET AN UNDERLYING ONE.

if you remember one thing

Reported margin (L0), H1 2026

7.8%

from 5.5% in H1 2025, +2.28 pp

Underlying margin (L1), H1 2026

8.4%

from 9.4% in H1 2025, −0.99 pp

One-offs share of the EBIT gain

176%

lower one-offs +€600m vs total EBIT gain +€341m

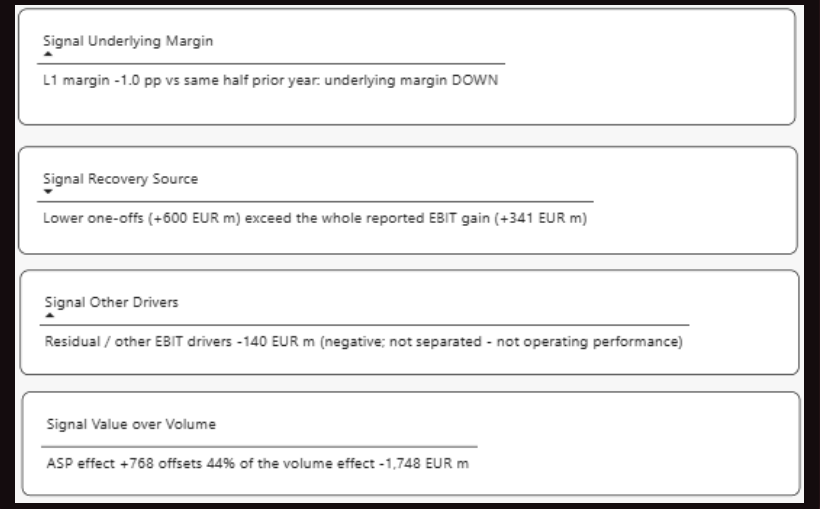
Automotive net cash flow margin

6.7%

from 2.4% in H1 2025

Scenario, not a forecast. With every FY2026 guidance range at its midpoint, the implied H2 L1 margin is 9.36% vs 8.41% in H1 2026.

POWER BI, PAGE 1: THE DASHBOARD'S SIGNAL PANEL



Source: Porsche AG public disclosures; project analysis. € million unless stated.



03 — Business question

After removing Porsche's disclosed one-offs and isolating non-cash accounting effects, is underlying profitability improving, and what does FY2026 guidance require from H2?

The headline: **reported margin 5.5% → 7.8%**, H1 2025 to H1 2026.

three things could flatter the headline

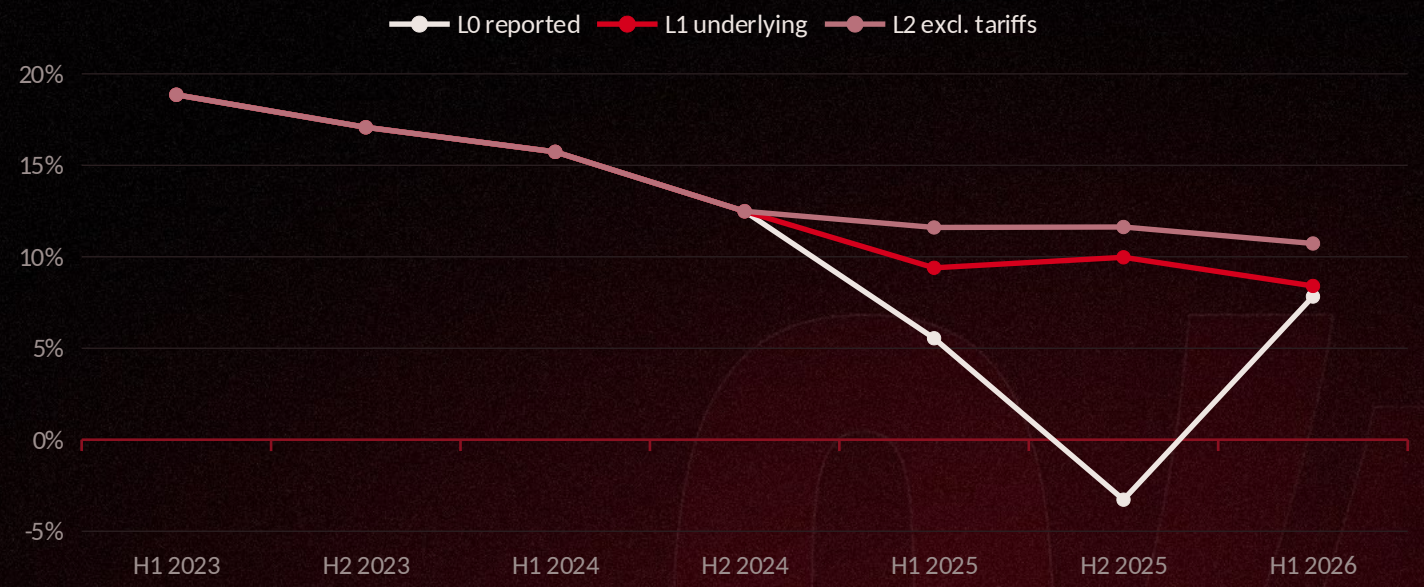
1	**Smaller one-offs** Is the gain just lower exceptional charges, rather than a better business?	Tested in the EBIT bridge, slide 5
2	**Accounting effects** Is more R&D being capitalised, or less depreciation booked?	Tested in R&D and D&A, slide 6
3	**Price and mix** Is a higher price per car hiding fewer cars sold?	Tested in commercial drivers, slides 7 and 8

ONLY THE REPORTED MARGIN RECOVERED.

three lines, one headline

L0 Reported EBIT	**€1,348m** margin 7.8%
+ Realignment and battery items (net)	**+€100m** disclosed by Porsche
L1 Underlying EBIT, headline KPI	**€1,448m** margin 8.4%
+ US import tariffs	**+€400m** disclosed by Porsche
L2 EBIT excluding tariffs	**€1,848m** margin 10.7%

Group margin by half-year: reported vs headline adjusted levels



H2 2025: L0 −3.3% vs L1 10.0%. Until 2025 the three lines coincide: no one-offs were disclosed (A-01, A-02). H2 = FY − H1.

POWER BI, PAGE 1: KPI ROW, H1 2026

Revenue (EUR m)	Reported EBIT – L0 (EUR m)	Reported margin – L0	L1 margin – headline adjusted	L2 margin – also excl. tariffs	ASP (EUR k per vehicle sold)	Vehicle sales (wholesale)
17,229	1348	7.8%	8.4%	10.7%	125.8	120,508
YoY Revenue % -5.1%	YoY EBIT L0 341	YoY Margin L0 (pp) +2.28	YoY Margin L1 (pp) -0.99	YoY Margin L2 (pp) -0.88	YoY ASP % 5.3%	YoY Vehicle Sales % -10.8%

WITHOUT THE ONE-OFF RELIEF, EBIT WOULD HAVE FALLEN.

what moved reported EBIT



176%

of the reported EBIT gain came from lower one-offs: +€600m vs a total gain of +€341m.

Residual −€140m
Price, mix, volume, cost and FX together: not separated, and not "operating performance". Still −€79m if A-04 is reversed.

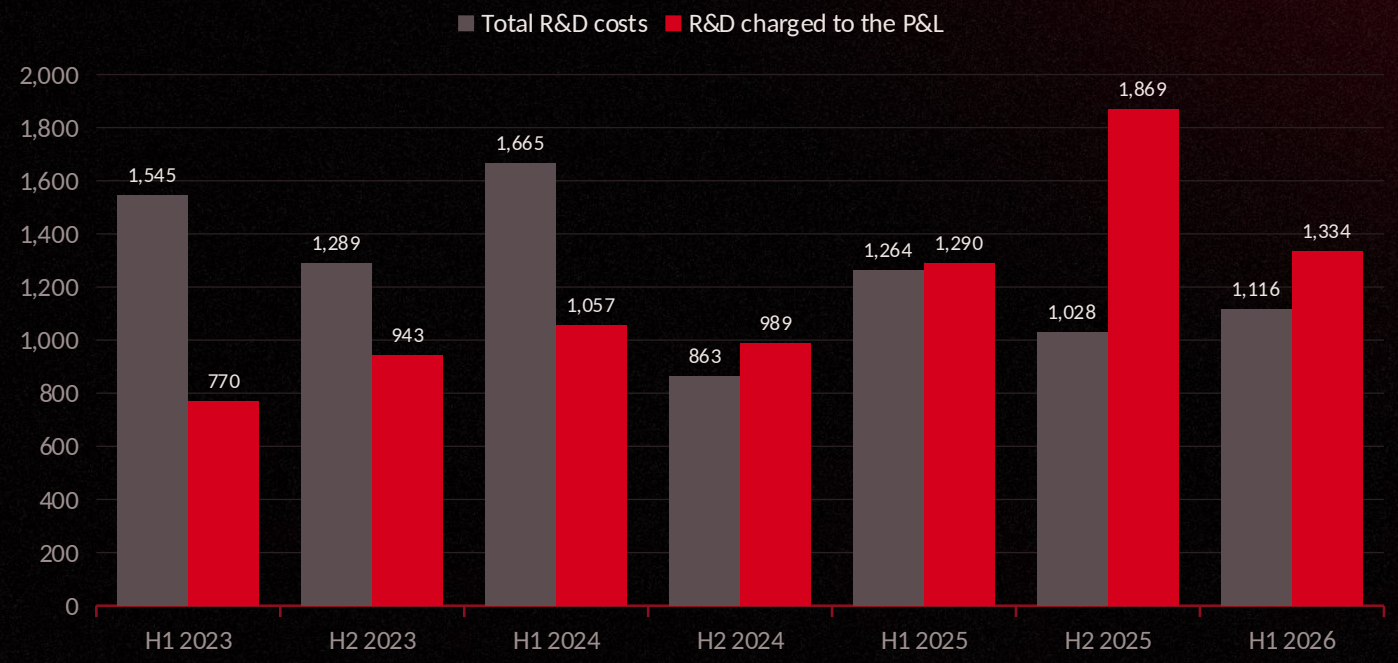
In margin points: +2.28 pp
One-offs +3.48 pp, residual −0.81 pp, revenue denominator +0.30 pp. The bridge closes exactly in € and in pp.

Source: Porsche AG public disclosures; project analysis. Same half of the prior year → H1 2026, € million.

ACCOUNTING IS A HEADWIND, NOT A HIDDEN TAILWIND.

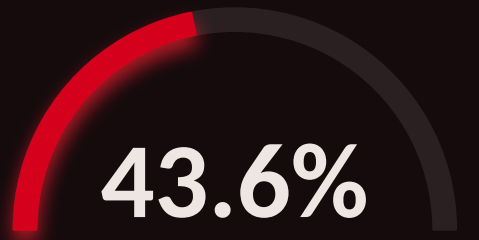
the accounting test

Total R&D costs vs R&D charged to the P&L (€ million)



H2 derived as FY − H1. P&L charge = expensed R&D + amortisation of capitalised R&D.

Clean automotive D&A €1,498m (€61m impairments removed, A-04). L3 hybrid sensitivity 14.3%: sizes the non-cash wedge only, never a KPI.



43.6%

of automotive R&D costs capitalised, H1 2026

45.5% in H1 2025, 77.7% in H1 2023

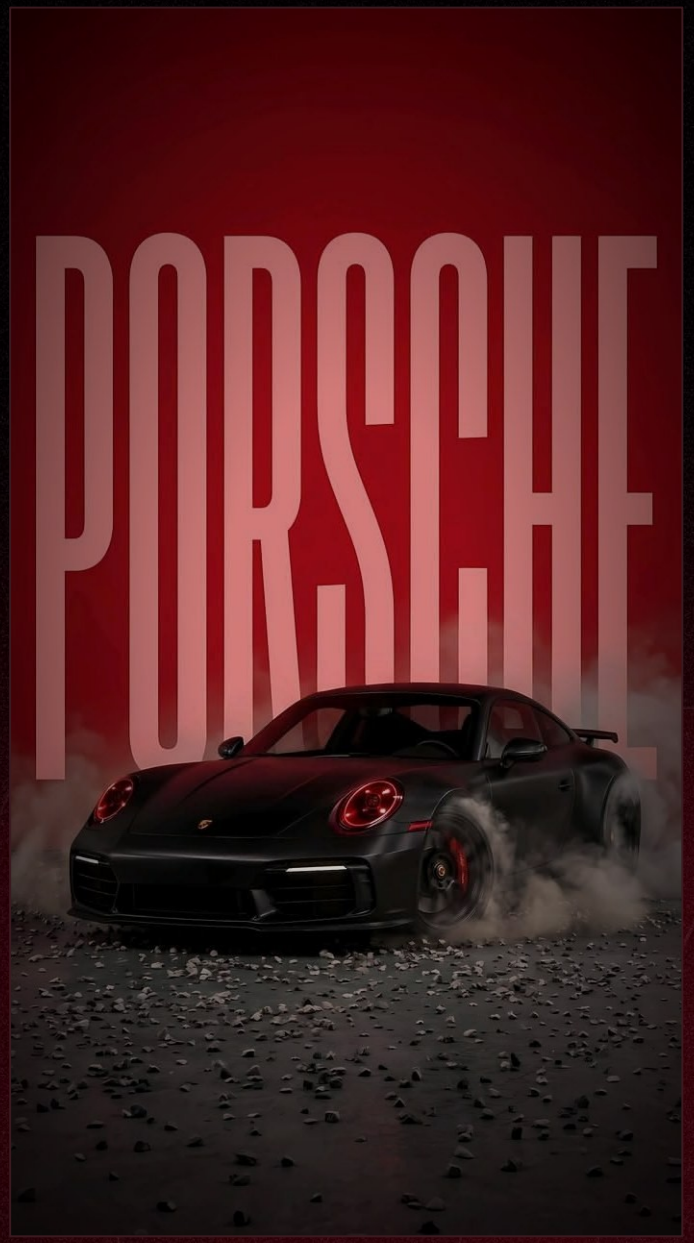
€1,116m
total R&D costs

€1,334m
charged to the P&L

−€218m
net capitalisation

+€20.7m
cap-rate effect, illustrative

Source: Porsche AG public disclosures; project analysis. € million unless stated.



VALUE OVER VOLUME WORKS, BUT ONLY PARTLY.

fewer cars, each worth more

120,508
vehicles sold, −10.8%

€125.8k
average selling price, +5.3%

44%
of the volume loss recovered by ASP

−1,748
Volume effect, € million
−10.8% vehicles, at last year's ASP

\+

+768
ASP effect, € million
+5.3% per vehicle, on this year's units

=

−980
Automotive revenue change
€16,138m → €15,158m

Automotive revenue bridge, € million



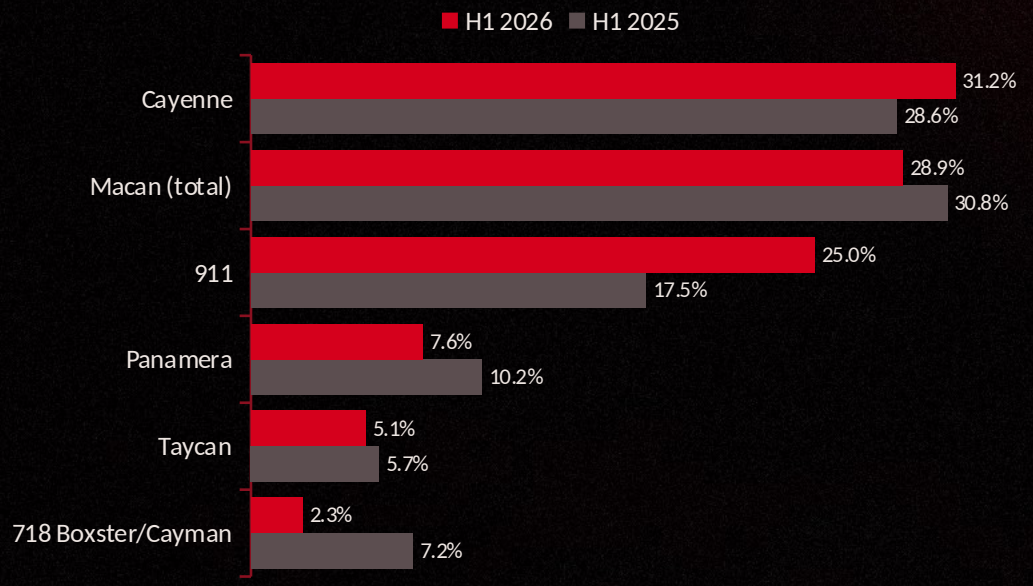
ASP = automotive revenue ÷ wholesale vehicles sold. The ASP effect is price plus model mix, options and FX, not pure pricing.

Source: Porsche AG public disclosures; project analysis. € million unless stated.

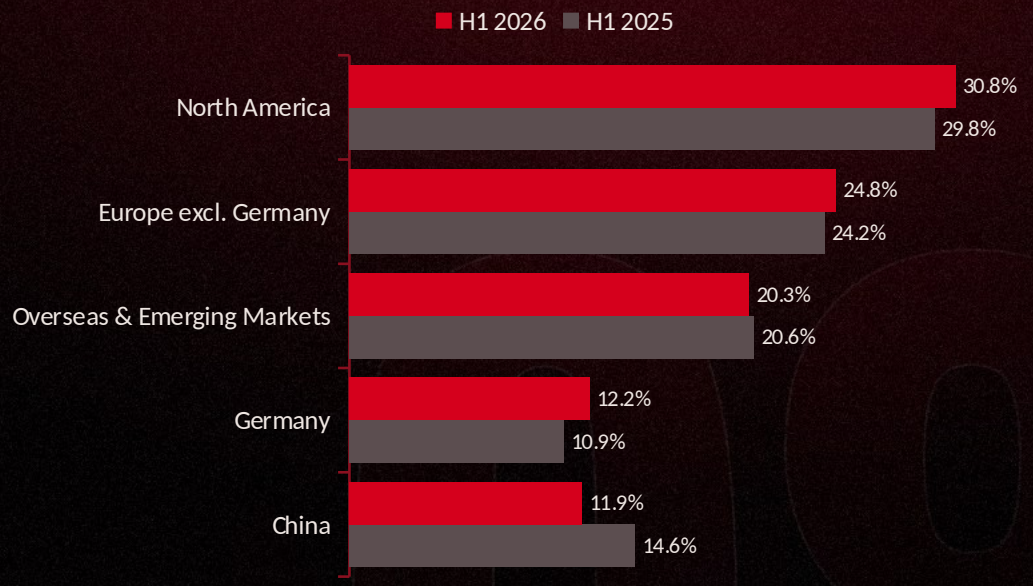
DELIVERIES SHIFTED TOWARDS THE 911 AND THE CAYENNE.

where the deliveries went

By model, share of retail deliveries



By region, share of retail deliveries



911
25.0% +7.5 pp vs H1 2025

Cayenne
31.2% +2.6 pp

718 Boxster/Cayman
2.3% −4.9 pp, as production ended

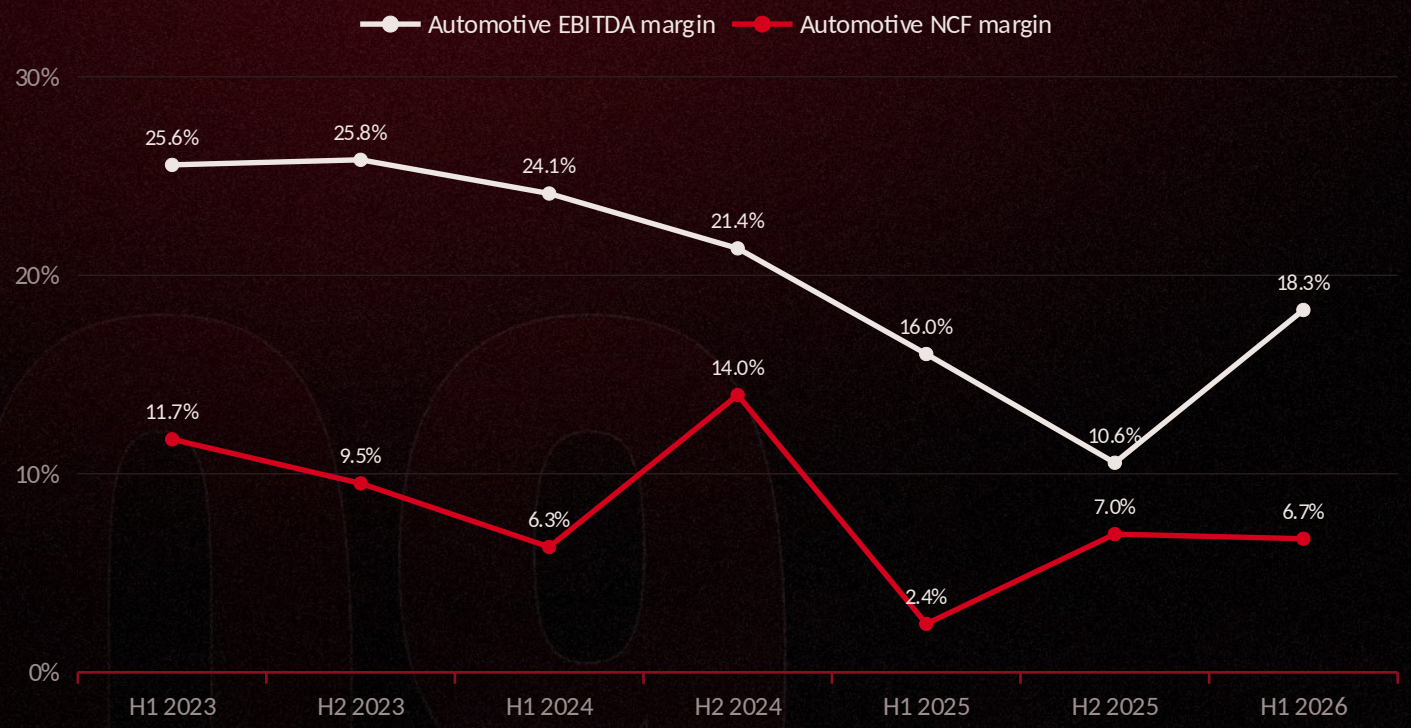
China
11.9% −2.7 pp

Retail deliveries (122,306 in H1 2026) are not the wholesale units that drive revenue.

CASH IS THE CLEARLY POSITIVE SIGNAL.

actuals, as published

Automotive EBITDA margin and net cash flow margin, by half-year



Automotive EBITDA margin 18.3% in H1 2026. NCF margin = automotive net cash flow ÷ automotive revenue. H2 = FY − H1.

ACTUALS, PUBLISHED BY PORSCHE

€1,020m
Automotive net cash flow, H1 2026

6.7%
NCF margin, +4.3 pp vs 2.4%

0.88
Cash from operations ÷ EBITDA

€1,374m
Simple cash proxy: EBITDA − capex − capitalised development

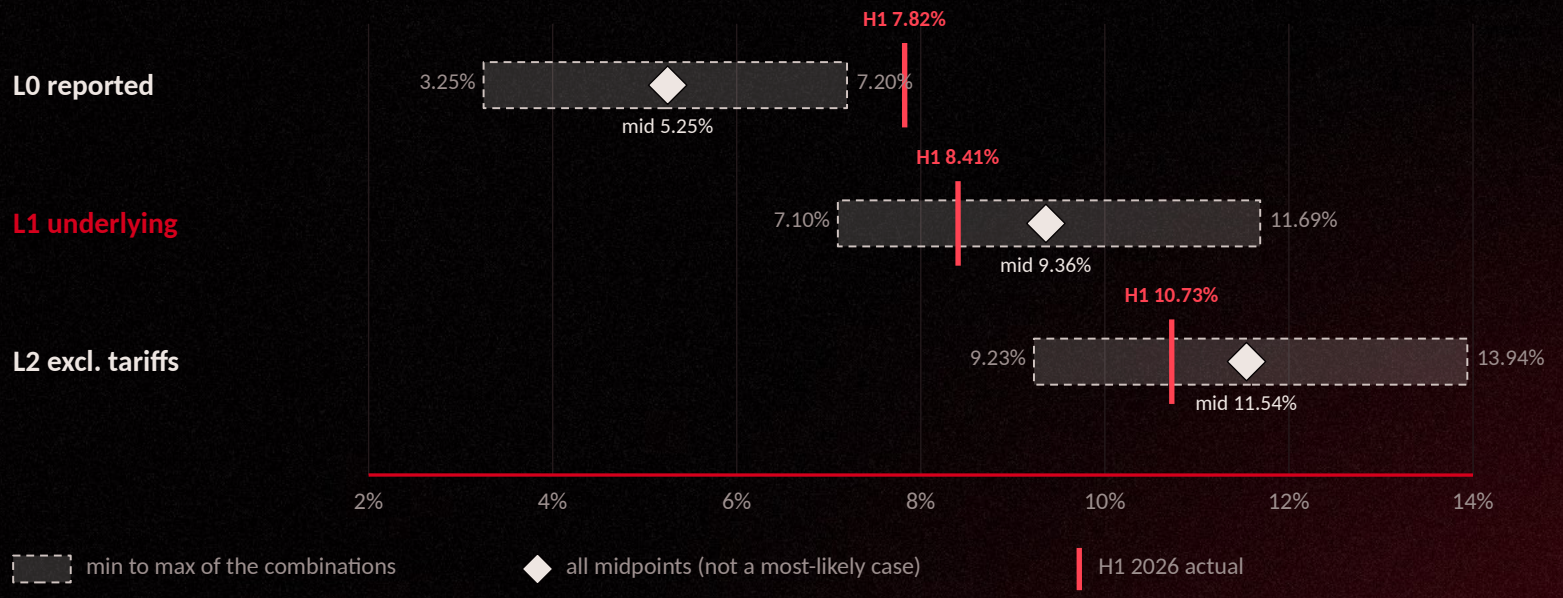
Porsche's commentary: net cash flow improved despite ~€0.4bn of cash-outs (first Audi licence tranche, realignment) and ~€0.3bn additional pension funding (S016, slide 13).

Source: Porsche AG public disclosures; project analysis. € million unless stated.

ON ITS OWN GUIDANCE, PORSCHE NEEDS A STRONGER H2.

SCENARIO ANALYSIS: ARITHMETIC ONLY — NOT FORECASTS — NO PROBABILITIES

Implied H2 2026 margin across all 27 group combinations



Automotive H2 NCF margin, 9 combinations: −0.62% to 3.41%
vs 6.73% in H1 2026. EBITDA margin 11.84% to 15.85% vs 18.25%. Uses A-05. Scenario, not a forecast.

ALL MIDPOINTS, SCENARIO

9.36%

implied H2 L1 margin vs 8.41% in H1 2026 (+0.95 pp)

H2 revenue €18,271m, H2 reported EBIT €959m

FY2026 GUIDANCE AS PUBLISHED

Group revenue	**€35.0–36.0bn**
Return on sales	**5.5–7.5%**
Extraordinary exp. (net)*	**€0.8–0.9bn**
Automotive EBITDA margin	**15–17%**
Automotive NCF margin	**3–5%**

A-05 Automotive revenue = group guidance × H1 2026 automotive share (88.0%).
A-06 CFO's €0.8–0.9bn (call transcript) is net, like H1.
A-07 H2 tariffs = H1 (€0.4bn); €0.3bn → L2 mid 11.00%.
A-08 Range ends are combined independently.

Sources: FY2026 guidance (S016, slide 14). *CFO on the H1 2026 call (S027, transcript), not in written guidance. H2 = FY − H1.

NOT JUST A DASHBOARD. EVERY NUMBER IS TESTED.

SOURCES
27 registered sources
155 input rows, 1 gap documented, none estimated

→

SQL
PostgreSQL 16, 11 mart views
305 data-quality + 116 model-quality checks pass

→

EXCEL
3,003 formulas
50/50 audit checks, 553 values verified

→

POWER BI
17 tables, 194 DAX measures
6 report pages, star schema

→

QA
388/388 in-report checks
1,524 cross-tool comparisons, 0 failures

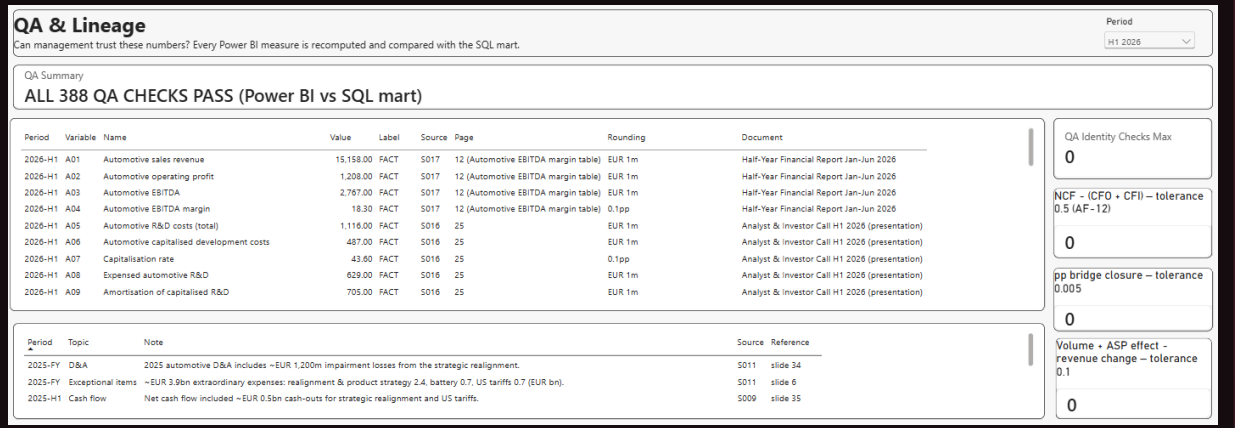
ALL 388 QA CHECKS PASS

Inside the Power BI report, each measure is recomputed from base values and compared with the SQL mart.

Found and fixed in review

- A spreadsheet lookup that behaved differently in another engine
- A DAX filter-context error in delivery-mix shares; 77 checks added
- 26 Excel cells with no prior-year period, blanked

POWER BI, PAGE 6: QA AND LINEAGE



WHAT THE DATA SHOWS, AND WHAT I DID.

+€600m
The recovery is driven by lower one-offs
176% of the EBIT gain; L1 margin 9.4% → 8.4%

−€140m
Other EBIT drivers are negative
Residual, not separated; −€79m if A-04 is reversed

44%
ASP covers less than half the volume loss
+768 vs −1,748 € million

43.6%
No accounting tailwind
P&L charge €1,334m above R&D costs €1,116m

6.7%
Cash conversion improved
NCF margin up from 2.4%; H2 implied cash margin weaker

9.36%
Guidance midpoints require a stronger H2
vs 8.41% in H1. Scenario, not a forecast

MY ROLE

Business analytics, operations thinking, financial analysis and data storytelling, applied to one question.

Framed the question
chose the company and question; defined L0 to L3 and the labelling rules

Validated the data
built the 27-source register and checked inputs; gaps documented, not estimated

Reviewed every phase
approved sources, inputs, SQL, Excel and Power BI models in turn

Built the dashboard
built and formatted the six-page Power BI report

Ran the audit
ran the QA cycle until SQL, Excel and Power BI reconciled with zero failures

Told the story
turned the analysis into findings and an FY2026 monitoring plan

Delivered: a traceable SQL data model, an audited Excel model and a six-page Power BI dashboard, reconciled across 1,524 comparisons with 0 failures.

Figures from the final validated project outputs. Not affiliated with or endorsed by Porsche AG. Not investment advice.
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